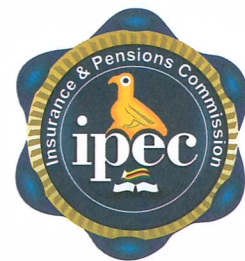


Insurance & Pensions Commission



18 November 2021

Circular Number 35 of 2021

To: Insurance Companies
Brokers
Reinsurers
Pension Funds
Pensions Fund Administrators

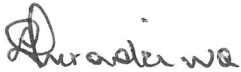
Cc: Life Offices Association (LOA)
Insurance Council of Zimbabwe (ICZ)
Zimbabwe Association of Reinsurance Organisations (ZARO)
Zimbabwe Association of Pension Funds (ZAPF)
Zimbabwe Association of Funeral Assurers (ZAFA)
Insurance Brokers Association of Zimbabwe (IBAZ)

CALL TO UPDATE INSTITUTIONAL RISK ASSESSMENTS

1. As you are aware, all financial institutions are required in terms of section 12B of the Money Laundering and Proceeds of Crime Act [Chapter 9:24], to assess money laundering and terrorist financing (ML/TF) risks they face and institute the necessary preventative measures.
2. The institutional risk assessments are an ongoing process that should be done regularly. The industry is, therefore, being reminded of the need to update their risk assessments, and to ensure that all material changes in risk factors are taken into account. The identification of ML/TF risks is the starting point in the fight against money laundering and terrorism financing.
3. All industry players are required to update their ML/TF risk assessments as at 31 December 2021, and submit copies of their reports to the Commission on or before 25 January 2022 on actuarial@ipec.co.zw.
4. Failure to comply with the requirements of this circular will result in the imposition of penalties.

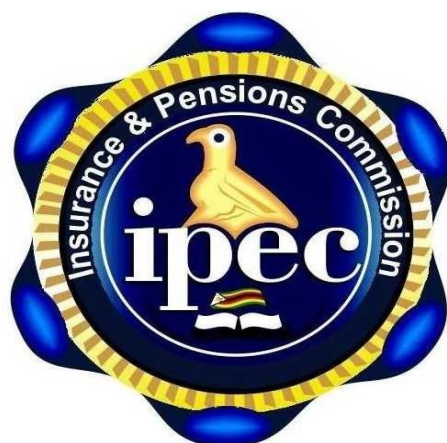
5. Appended to this Circular, is an assessment guideline that has been developed by the Commission to guide the industry on the identification of ML/TF risks. Entities are free to modify the template to suit their business models as they carry out the assessments.
6. Industry players with own internal risk assessment templates may proceed to carry out assessments based on such templates. However, all material risk factors in the IPEC Guideline should be considered.
7. The Commission is available to provide additional guidance and support should a need arise within individual companies or at an association level.
8. Be guided accordingly.

Yours sincerely



Grace Muradzikwa

COMMISSIONER OF INSURANCE, PENSION AND PROVIDENT FUNDS



**ANTI-MONEY LAUNDERING AND COMBATING THE
FINANCING OF TERRORISM INSTITUTIONAL RISK
ASSESSMENT GUIDELINE FOR THE INSURANCE AND
PENSIONS INDUSTRY**

December 2021

List of Acronyms

AML	Anti-Money Laundering
CFT	Countering Financing of Terrorism
ML	Money Laundering
MLPC ACT	Money laundering and Proceeds of Crime Act [9:24]
NGO	Non-Governmental Organisation
PEPs	Politically Exposed Persons
TF	Terrorist Financing

Introduction:

This document is intended for guidance on the implementation of institutional risk assessment to assist the institutions to comply with the requirements of the Money Laundering and Proceeds of Crime Act Chapter 9:24 (MLPC Act) only.

Reporting institutions may develop, modify this template or develop their own template depending on the size, nature and complexity of their business operations.

This document does not contain exhaustive advice or information relating to the subject matter nor should it be used as a substitute for legal advice.

In the event that the MLPC Act Chapter 9:24 contradicts or differs from information contained within this document, the information in Act shall prevail and take precedence.

A. Shareholders : Ownership Structures of the Company

No	Risk Factors		Total Number	% shareholding
1	Type of Shareholders	Local shareholders		
		Foreign shareholders		
		TOTALS		100%

No	Risk Factors		Total Number	% shareholding	Names of Natural shareholders(beneficial Ownership Structures-Attached a separate list if necessary)
2	Type of Shareholders	Individual shareholders			
		Group Owners e. g Institutional investors, group of companies, mutual societies etc			
		Listed equity shareholders			
		Trusts(Trustees)			
		Investment vehicle?			
		*High risk shareholders			
		Others (Please specify):			

*High risk shareholders means: politically exposed persons (PEPs), high net worth individual(s), non-profit organisations (NGO), anonymous shareholders

Overall Ownership risk assessment:	☐ Low	☐ Medium	☐ High
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B. Governance Structures of the Company

In identifying, assessing and understanding their ML/TF risks at the institutional level, the reporting institution may consider the following risk factors:-

AML/CFT Skills Set/Awareness at the Disposal of the insurance/pensions institution

Number	Description	Low	Medium	High
1.	Board of directors			
2.	Executive /Senior Management			
3.	Anti-money Laundering reporting officer			
4.	Members of Staff			
5.	External Consultants			

*Tick and rank the most applicable source of AML/CFT expertise and skills

Overall AML/CFT Skills/Awareness levels risk assessment:	☐ Low	☐ Medium	☐ High
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C. Services/ Product Risk

Characteristics of Services /Products:

For each service, insurance and pensions institutions may consider the following and other risk factors:

No	Risk Factor	Response
1	Do you provide insurance or pensions services that allow deposit/payment from third-party/unknown parties?	☐ Yes ☐ No
2	Do you provide insurance or pensions services that allow transfer of funds to third-party/unknown parties?	☐ Yes ☐ No
3	Do you provide insurance or pensions services that allow cross-border fund transfers?	☐ Yes ☐ No
		☐ Yes

4	Do you provide insurance or pensions services that allow customers to deposit/transfer funds through the firm's client account?	☐ No
5	Do you provide insurance or pensions services that include creation/setting up of complex legal arrangements?	☐ Yes ☐ No
6	Do you provide insurance or pensions services that are capable of concealing beneficial ownership from competent authorities?	☐ Yes ☐ No
7	Do you provide insurance or pensions services that provide nominee director/shareholders?	☐ Yes ☐ No
8	Do you provide insurance or pensions services with investment returns?	☐ Yes ☐ No
9	Do you provide insurance or pensions services with a surrender value?	☐ Yes ☐ No
10.	Do you provide insurance or pensions services with premium refunds?	☐ Yes ☐ No
11	Do you provide insurance or pensions services that provide anonymity in relation to the client's identity?	☐ Yes ☐ No
12.	Do you provide insurance or pensions services that are offered through the use of agent or intermediary?	☐ Yes ☐ No
13.	Do you provide insurance or pensions services that allow the use of shell companies or companies with ownership through nominee shares or bearer shares or control through nominee and corporate directors?	☐ Yes ☐ No
14.	Can customers acquire services through non face-to-face channels?	☐ Yes ☐ No
15.	Do you provide insurance or pensions services that allow use of virtual assets and other anonymous means of payment e.g Crypto currencies?	☐ Yes ☐ No
16.	Do you provide insurance or pensions services in exchange of receiving unusual means of payment e.g. high value items such as real estate, precious metals and stones?	☐ Yes ☐ No
17.	Others (please specify):	

Services risk assessment:	☐ Low	☐ Medium	☐ High
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D. Customer Risk

Politically exposed persons (PEPs), clients from high-risk jurisdictions, non-resident clients, high net worth clients, non-profit organisations

No	Risk Factors		Total		Value
			Number	% to total business	
1	Type of customers	Individual customers			
		Legal persons			
		Legal arrangements			
		Clubs, Societies and Charities			
		Others (Please specify):			
	TOTALS			100%	
2	Type of occupation for individual customers	Salaried		Estimated % to total business	
		Self-employed	Trading	Estimated % to total business	
			Services	Estimated % to total business	
			Others	Estimated % to total business	
3	Nature and type of business of legal persons	Trading		Estimated % to total business	
		Services		Estimated % to total business	
		Cash intensive business (e.g. retail)		Estimated % to total business	
		Others		Estimated % to total business	
4	Risk Level (based on institutions own customer risk profiling)	Low risk		Estimated % to total business	
		Medium risk		Estimated % to total business	
		High risk		Estimated % to total business	
5	Characteristics of customers	High net worth		Estimated % to total business	
		Domestic PEPs		Estimated % to total business	
		Foreign PEPs		Estimated % to total business	

6	Structure/nature of customer	Legal persons which has complex structure or multiple layer of ownership		Estimated % to total business	
		Legal persons which has nominee relationship		Estimated % to total business	
		Customers that are cash intensive businesses		Estimated % to total business	
		Others (please specify):		Estimated % to total business	
7	Geographical location of customer	Domestic	All local customers	Estimated % to total business	
			From within business area	Estimated % to total business	
			Outstation customers	Estimated % to total business	
		Foreign	All foreign customers	Estimated % to total business	
			Customer from higher risk countries*	Estimated % to total business	
8	Other factors (please specify):				

Overall customer risk assessment:	☐ Low	☐ Medium	☐ High
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E. Geographical Location Risk

		Total	Percentage (%)
Local Headquarters and Branch Location	No. of branches including headquarters located at/near terrorist hotspots		
	No. of branches including headquarters located at/near crime hotspots		
	No. of branches including headquarters located at/near country's borders		
	No. of branches including headquarters located at/near country's entry points		
Foreign Branch Location	No. of branches located in higher risk countries		

Geographical location risk assessment:	☐ Low	☐ Medium	☐ High
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F. Transactions and Delivery Channel Risk

No	Risk Factors		Total	Percentage (%)
1	Mode of delivery	Volume of non-face-to-face transactions e.g. online, agents		
		Value of non-face-to-face transactions e.g. online, agents		
2	Mode of payment	Cash		
		Volume of cash transactions (no. of cash transaction/total no. of all transactions)		
		Value of cash transactions (total value of cash transaction/total value of all transactions)		
		Average cash transactions (Total value of cash transactions/total no. of cash transactions)		
	Electronic payment	Volume of e-payments (no. of e payment transactions/total no. of all transactions)		
		Value of e-payment transactions (total value of e-payment)		

3	Transaction location		transactions/total value of all transactions)		
			Average e-payment transactions (Total value of e-payment transaction/total no. of e-payment transactions)		
		Local	Funds received from outside your business area		
			Funds transferred to areas outside your business area		
		Foreign	Funds received from outside Zimbabwe		
			Funds transferred outside Zimbabwe		
			Volume of transactions from/to higher risk countries		
			Value of transactions from/to higher risk countries		

Transaction and delivery channel risk assessment:	☐ Low	☐ Medium	☐ High
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G. Adequacy of Policy and Procedures in the Company or Pension Fund

In conducting ML/TF risk assessment, the reporting institution may consider the following risk factors:-

Existence and Adequacy of Policy and Procedures in the insurance/pensions institution

Description	Do you Have?	Low Risk	Medium risk	High Risk
AML/CFT Checklist	☐ Yes			
	☐ No			
AM/LCFT Register	☐ Yes			
	☐ No			
Business Acceptancy Policy	☐ Yes			
	☐ No			
AML/CFT Al-Quaeda Sanctions Policy	☐ Yes			
	☐ No			
Customer Due Diligence Procedure	☐ Yes			
	☐ No			

AML/CFT Strategy	☐ Yes			
	☐ No			
AML/CFT Strategy	☐ Yes			
	☐ No			

Total Institutional ML/TF Risk Level	☐ Low	☐ Medium	☐ High
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H. Reporting Obligations of the Company or Pension Fund - 31 December 2020

In conducting ML/TF risk assessment, the reporting institution may consider the **following and other** risk factors:

Reporting obligations of the insurance/pensions institution

Description	Have you reported?	Low Risk	Medium risk	High Risk
Cumulative number of Nil Suspicious Transactions for the year to date	☐ Yes			
	☐ No			
Cumulative number of Suspicious Transactions for the year to date	☐ Yes			
	☐ No			
Cumulative number of Bulk Cash Transactions for the year to date	☐ Yes			
	☐ No			

Total Institutional ML/TF Risk Level	☐ Low	☐ Medium	☐ High
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I. Nature and Accuracy of Customer Screening within the Company or Pension Fund

In conducting ML/TF risk the reporting institution may consider the **following and other** risk factors:

Screening procedures in the insurance/pensions institution

Description	Tick the applicable	Low Risk	Medium risk	High Risk
Manual	☐ Yes			
	☐ No			
Automated	☐ Yes			
	☐ No			
Outsourced	☐ Yes			
	☐ No			
No Screening	☐ Yes			
	☐ No			

Total Institutional ML/TF Risk Level	☐ Low	☐ Medium	☐ High
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J. Nature and Accuracy of Record Keeping

In conducting ML/TF risk assessment relating to record-keeping, the reporting institution may consider the **following and other** risk factors:

Record Keeping Procedures in the insurance/pensions institution

Description	Tick the applicable	Maximum Time of record retention	Low Risk	Medium risk	High Risk
Manual	☐ Yes	0-3 years			
		3-4yrs			
	☐ No	5years +			
Automated	☐ Yes	0-3 years			
		3-4yrs			
	☐ No	5years +			
Outsourced	☐ Yes	0-3 years			
		3-4yrs			
	☐ No	5years +			
Online/Web-based	☐ Yes	0-3 years			
		3-4yrs			
	☐ No	5years +			

Total Institutional ML/TF Risk Level	☐ Low	☐ Medium	☐ High
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K. Training and Competency

In conducting ML/TF risks associated with institutional capacity, the reporting institution may consider the **following and other** risk factors:

AML/CFT Training and Competency levels in the insurance/pensions institution

Description of training and competences in:	Tick the applicable	Frequency of training/	Low Risk	Medium risk	High Risk
Board	☐ Yes	None			
		Quarterly			
	☐ No	5-12 Months			
Executive/Senior Management	☐ Yes	None			
		Quarterly			
	☐ No	5-12 Months			
Anti-Money Laundering Reporting Officer	☐ Yes	None			
		Quarterly			
	☐ No	5-12 Months			
Outsourced	☐ Yes	None			
		Quarterly			
	☐ No	5-12 Months			

Total Institutional ML/TF Risk Control Level	☐ Low	☐ Medium	☐ High
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M. ACTION PLAN : Risk Control and Mitigation

No.	Identified High Risk ML/TF Areas: Product/Services/Locations/Work- Process/Division/Customer or Group of Customers/Transaction Type/Delivery Channel	Proposed Control Measures – Policies, procedures and controls to manage and mitigate ML/TF risks that have been identified
1	E.g. High exposure to higher risk customers	E.g. monitor higher risk customer's transactions with greater sensitivity
2	E.g. High exposure to politically exposed persons	E.g. employ technology-based screening for effective enhanced due diligence
3	E.g. Identified higher risk transactions	E.g. introduce limit for identified higher risk transactions
4		
5.		
6		

TOTAL OVERALL INSTITUTIONAL ML/TF RISK LEVEL

In the final analysis, after due consideration of the above ML/TF risk factors, the insurance or pension institution should rate its own ML/TF risk below:

Total Institutional ML/TF Risk Level	☐ Low	☐ Medium	☐ High
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